

accounting, but people who could not master their emotions were ill suited to profit from the investment process.

As Warren Buffett, his most famous student, explains, “There are three important principles to Graham’s approach.” The first is simply looking at stocks as businesses, which “gives you an entirely different view than most people who are in the market.” The second is the margin-of-safety concept, which “gives you the competitive edge.” And the third is having a true investor’s attitude toward the stock market. “If you have that attitude,” says Buffett, “you start out ahead of 99 percent of all the people who are operating in the stock market—it is an enormous advantage.”¹

Developing an investor’s attitude, Graham said, is a matter of being prepared, both financially and psychologically, for the market’s inevitable ups and downs—not merely knowing intellectually that a downturn will happen, but having the emotional ballast needed to react appropriately when it does. In Graham’s view, an investor’s appropriate reaction to a downturn is the same as a business owner’s response when offered an unattractive price: ignore it. “The true investor,” says Graham, “scarcely ever is forced to sell his shares and at all other times is free to disregard the current price quotation.”²

To drive home his point, Graham created an allegorical character he named “Mr. Market.” The well-known story of Mr. Market is a brilliant lesson on how and why stock prices periodically depart from rationality.

Imagine that you and Mr. Market are partners in a private business. Each day, without fail, Mr. Market quotes a price at which he is willing to either buy your interest or sell you his.

The business you both own is fortunate to have stable economic characteristics, but Mr. Market’s quotes are anything but. You see, Mr. Market is emotionally unstable. Some days he is cheerful and can only see brighter days ahead. On these days, he quotes a very high price for shares in your business. At other times, Mr. Market is discouraged and, seeing nothing but trouble ahead, quotes a very low price.

Mr. Market has another endearing characteristic, said Graham. He does not mind being snubbed. If Mr. Market’s quotes are ignored, he will be back again tomorrow with a new quote. Graham warned that it is Mr. Market’s pocketbook, not his wisdom, that is useful. If Mr. Market shows up in a